Industry Overview: Household Durables

The Household Durables industry plays a smaller role in the consumer discretionary sector and manufactures products that are bought infrequently and last for years[1]. This industry can be spilt into consumer electronics, home furnishings, homebuilding, household appliances, and houseware & specialties. These can be products like refrigerators, furniture, single-family homes, televisions, and power tools respectively.

Subindustry Overview: Housebuilding

The sub industry of homebuilding plays a large role in the household durables industry. This industry makes new single-family housing, multi-family housing, and conducts residential remodeling. Single family housing looks like townhouses, duplexes, and cottages and cabins. Multi-family housing looks like apartments, condominiums, and stacked duplexes. Residential remodelers look like renovations, reconstruction, and maintenance and repairs. This industry will on average contribute 3-5% of US GDP (~1.2 trillion USD)[2].

Key Players:

There are four players: D. R. Horton (NYSE: DHI), Lennar (LEN), NVR, Inc. (NVR), and PulteGroup (PHM). Operationally, all the companies are similar with the type of homes and residential space they build. All players provide some kind of residential mortgage financing, title insurance, or closed services to home buyers and others. When differences are to the established, DHI has water rights and water related assets. LEN and NVH both have brackets targeting luxury buyers, with LEN even having a fund investment support arm.

Market Dynamics:

Growth is slowing down in previously hyperactive housing markets like Texas and Florida due to oversupplied houses. This growth is now seen in the Midwest seeing opportunities for cheaper land and affordability[3]. There have been technological advancements where builders are exploring modular builds. In essence, parts of the home can be prebuilt in factories and be assembled on site to reduce costs. Permits such as the Clean Water Act have been streamlined from executive orders, opening areas around wetlands and stormwater[4]. Demographics are shifting, and with the fertility rate decline, builders are focusing on building medium-density housing, such as townhomes.

Industry Problems:

The industry is facing persistent labor shortages, and by the National Association of Home Builders standards, the residential construction sector will require 740,000 workers a year to keep pace with the industry's growth[5]. Tariffs are felt by this industry, with higher prices of copper and steel constricting margin. The prices of these materials have caused some projects to be cancelled or scaled back, as the market is not willing to subsidize the increase in material costs.[6] However, there is hope that gradual reduction in interest rates will help ease this pressure. From a consumer perspective, some consumers are waiting to see if the high interest rate will go down, as some are expecting both prices and interest rates to go decline[7].

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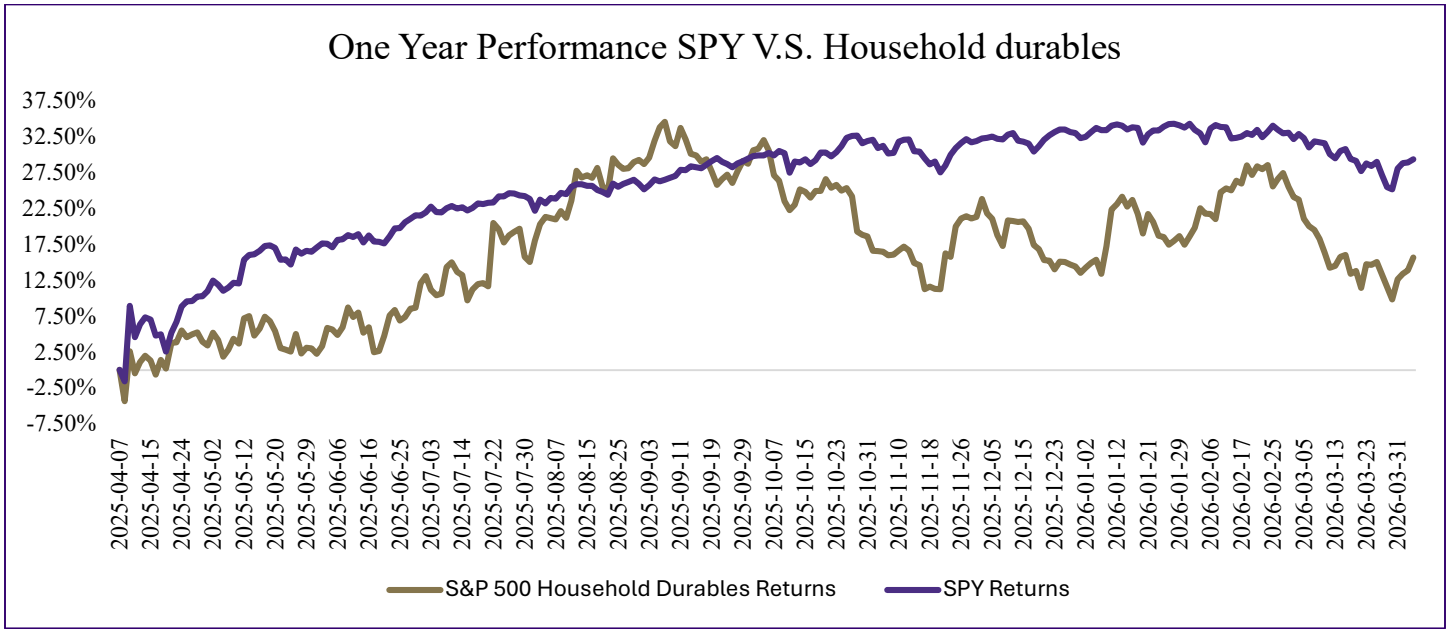
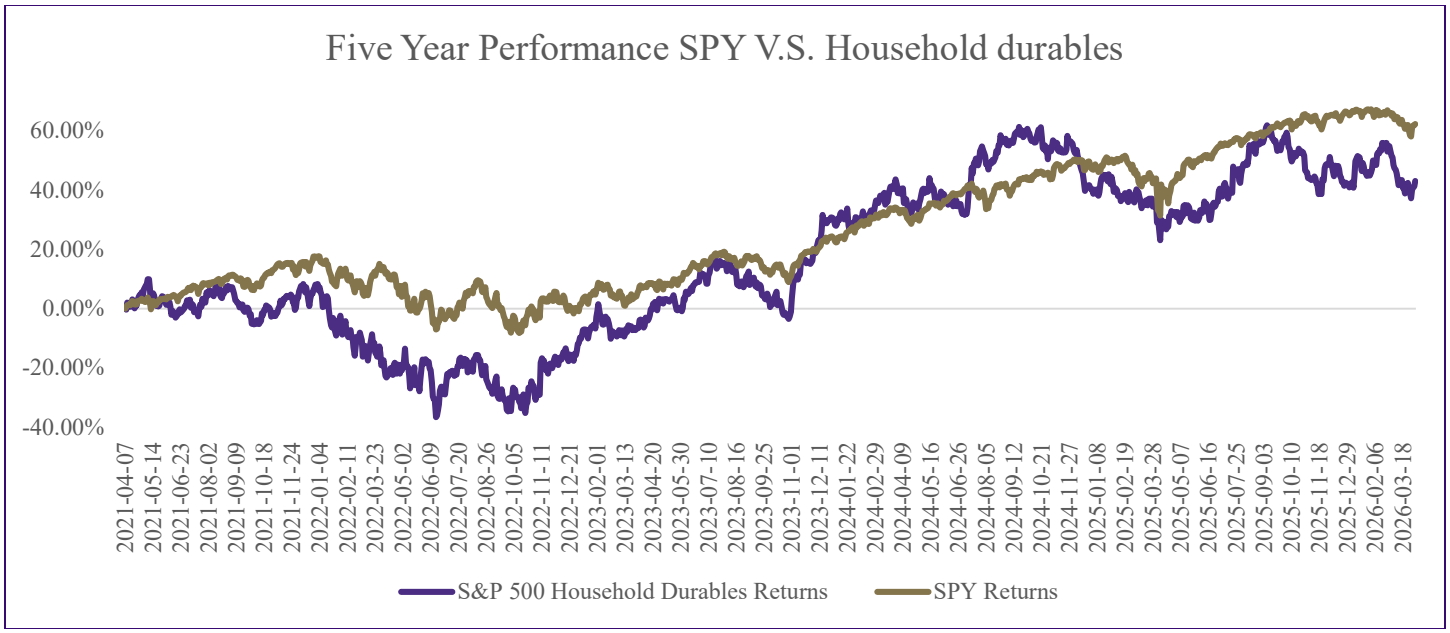
[1] Consumer Discretionary Sector: Industries Snapshot
[2] https://www.nahb.org/news-and-economics/housing-economics/housings-economic-impact/housings-contribution-to-gross-domestic-product#:~:text=Share:,imputed%20rents%20and%20utility%20payments.
[3] https://www.nar.realtor/magazine/real-estate-news/2026-real-estate-outlook-what-leading-housing-economists-are-watching
[4] https://www.whitehouse.gov/presidential-actions/2026/03/removing-regulatory-barriers-to-affordable-home-construction/
[5] https://www.nahb.org/news-and-economics/press-releases/2026/02/2026-housing-outlook-ongoing-challenges-cautious-optimism-and-incremental-gains#:~:text=Meanwhile%2C%20the%20mortgage%20rate%20lock,still%20weighs%20on%20the%20market.
[6] https://www.pbmares.com/construction-outlook-for-2026/#:~:text=Recent%20tariff%20increases%20on%20steel,up%20directly%20in%20bid%20prices.
[7] https://eyeonhousing.org/2026/02/builders-top-challenges-for-2026/#:~:text=Until%202021%2C%20relatively%20few%20builders,high%20of%2081%25%20in%202025.

Performance:

1 Year Return



5 Year Return



Comparable Company Analysis:

	Financial Data				Valuation			
	Market Cap	EV	EBIT	EBITDA	EPS	P/E	EV/EBIT	EV/EBITDA
Company	($M)	($M)	($M)	($M)	x	x	x	x
D.R. HORTON, INC. (XNYS:DHI)	41,057	43,580	4,697	4,799	11.62	12.72x	9.28x	9.08x
LENNAR CORPORATION (XNYS:LEN)	21,932	23,330	2,612	2,746	7.98	10.83x	8.93x	8.50x
NVR, Inc. (XNYS:NVR)	18,656	17,650	1,446	1,471	462.00	15.26x	12.21x	12.00x
PULTEGROUP, INC. (XNYS:PHM)	22,958	22,660	2,979	3,091	11.21	10.55x	7.61x	7.33x
Average					**123.20**	**12.34x**	**9.51x**	**9.23x**
Median					**11.42**	**11.77x**	**9.11x**	**8.79x**